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Minutes of the Central Bank of Armenia Board Meeting on the Refinancing Rate

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Present at the meeting: Governor Martin Galstyan; Deputy Governors Armen Nurbekyan and Hovhannes Khachatryan; and Board Members Hasmik Ghahramanyan, Davit Nahapetyan, Levon Sahakyan, and Narek Ghazaryan.

Assessment of Current and Underlying Economic Conditions

The meeting of the Board of the Central Bank of Armenia started with the Staff presentation of current and underlying global and domestic economic conditions. The presentation addressed developments in inflation, the external environment, and the real, fiscal, financial, and monetary sectors of the economy; touched upon the key risks and issues, as presented in various scenarios; and highlighted sources of policy-relevant uncertainty.

Discussions commenced with key narratives for the global economic environment. In the first quarter of 2024, economic activity among Armenia's main trading partners, was mixed; however, risks of weaker economic activity going forward still remain high. The overall inflationary environment in the world continued to soften, driven by the sustained contractionary monetary policy stance in advanced economies. Deflationary patterns continued to be observed in international commodity markets and, looking ahead, there exist risks for slowing global economic activity to continue to create a downward drag on prices. Discussions emphasized several sources of risk with respect to the future development of commodity prices. First, continued geopolitical tensions in the Middle East, which sharpened significantly in recent weeks, continue to pose risk to both upward movement and greater volatility in oil prices, and could prompt a restructuring of global supply chains. Second, food prices, which had been trending downward for several successive months, registered slight a slight monthly uptick in March for the first time in seven months. Finally, despite somewhat improved economic activity in the first quarter, concerns continue to persist about slower future growth in China, as well as questions about the vulnerability of both the real estate market and financial stability, which could pose dangers to global demand and exert meaningful downward pressure on commodity prices. Discussions also touched upon tight labor market conditions and continued consumption-driven demand in advanced economies, which continue to contribute to "sticky" prices remaining quite elevated. Considering these drivers, as well as messaging from monetary authorities, the potential for key trading partner central banks (and especially the US Fed, which has important implications on global financial conditions) to begin loosening rates in the immediate near term seems increasingly unlikely. Given these circumstances, Board members were in unison that weakly deflationary effects on the Armenian economy coming from the global economy would likely persist in the near term. However, Board members underlined that the major source of risk stems from the implications of higher interest rates in the context of capital flows and neutral interest rates. In this context, the primary area of uncertainty relates to the extent to which neutral interest rates would return to pre-Covid levels.

The Board discussed current and underlying developments in the Armenian economy. Growth in economic activity in Armenia remained at very high levels in the first months of 2024, driven by a significant acceleration of the manufacturing and supported by continued strong growth in trade and construction. The latter two sectors continue to remain the core underlying drivers of the economy. Discussions emphasized the recent growth in manufacturing output and exports since the end of 2023, while highlighting uncertainty with regard to the sustainability of the trends and risks associated with structural economic issues. Additionally, the Board noted that the slight slowdown in the Information and Communication sector since the end of 2023 could raise concerns about potential output and export capacities, though there are no clear signs as of yet of a widespread contraction, and output still remains at high levels. In the first months of 2024, external demand pressures for domestic services have continued to soften, driven in part by cooling in tourism (evidenced by normalizing real expenditures per tourist and a slowdown in tourist inflows). At the same time, the Board emphasized the fact that uncertainty about domestic demand conditions continues to remain high. While private consumption has slowed, it was noted that risks exist for potential for growth in consumer loans and reductions in savings to drive growth in private consumption going forward, particularly considering the reduction in the overall debt burden (relative to incomes) observed in recent years. Further, uncertainty regarding how, and in which directions, accumulated private savings may be used could have implications on future trends in consumption and thus on the overall inflationary environment. Conversely, accelerated growth in investments has contributed meaningfully to growth in domestic demand. While this could have some short-term inflationary effects, in the medium term, growth in investments could support growth in the productive capacities of the economy. The latter could also serve as a basis for arguments that that the output gap may be closing or already closed.. . With respect to the domestic labor market, the Board noted that labor demand and wage growth both continued to remain elevated in the context of persistently strong economic growth. However, discussions emphasized the fact that growth in labor supply in recent months, as well as some productivity growth, have helped dampen some of the inflationary pressures coming from the labor market. In this context, it was noted that if the growth in labor supply experienced in recent months were to continue in the near and medium term (driven by the integration of forcibly displaced persons from Nagorno-Karabakh in the domestic labor market, the arrival of migrant workers from India, and a slowdown of Armenian labor migrants' flows to Russia and their higher participation in the domestic labor market), this could result in further softening in the labor market. However, Board members highlighted the considerable uncertainty surrounding the magnitude of the existing labor supply expansion, the potential for these trends to continue (or accelerate or reverse), and their overall impacts on aggregate supply and demand.

The Board then turned to financial market developments in Armenia. Discussions began by addressing developments in the yield curve in the first months of 2024. Since the CBA's January policy decision, the long-term portion of the yield curve has continued to shift downwards, and since the March decision, the short-term portion of the curve, which had still remained elevated, has also shifted meaningfully downward. Meanwhile, survey-based measures of market expectations of the CBA policy rate path have not changed materially since the last decision and continue to reflect expectations of a gradual reduction in the policy rate through the end of the current year. Further, with domestic demand conditions largely continuing to remain at elevated levels growth continues to be observed in both consumer loans and mortgages, while the banking system continues to maintain high liquidity and capital levels.

The Board proceeded to discussing inflation developments; it was noted that year-over-year CPI inflation stood at -1.2% in March 2024, marking the twelfth consecutive month that it has been below the CBA's medium-term target. These developments were attributed to the aforementioned weakened inflationary pressures coming from the external sector, the implemented monetary policy of the CBA, and the implications of the appreciated dram. 12-month core inflation was in negative territory as well, reaching –0.7%. Discussions turned to non-traded sticky price inflation (NTSPI), which can better capture domestically-driven demand dynamics. NTSPI, which had remained high throughout 2023 even as headline inflation slowed down sharply, continued to moderate meaningfully in recent months, standing at 2.4% Y-o-Y in March. Similarly, inflation for services that are highly exposed to external demand have continued to soften, while inflation for certain services associated with outbound tourism (e.g. air transport, international vacation planning services, etc.) remains elevated.

Deliberations around Key Risks, Uncertainties, and Scenarios

Following the discussion of current and underlying macroeconomic developments in the external and domestic sectors, the Board proceeded to addressing the broad spectrum of risks presented in terms of the Taxonomy of Scenarios, deliberating their implications for monetary policy, and making a decision on the policy rate.

On the one hand, the Board has evaluated scenarios where underlying developments would require a tighter policy stance relative to current market expectations in order to contain excess demand, anchor inflation expectations to the target and guarantee the price stability objective (Case A-type scenarios). These types of scenarios are primarily related to the potential for a "higher for longer" interest rate environment in the United States, with implications on both capital flows and the medium-term neutral rate in Armenia; worsening geopolitical tensions, both globally and regionally; uncertainty about the country risk premium in the context of the fiscal deficit and geopolitical tensions; restructuring of global supply chains; high inflation expectations; as well as other risks and uncertainties.

On the other hand, the Board also evaluated scenarios where underlying developments would require the policy rate to follow a more rapid and aggressive downward path than what is currently priced in markets in order to sustainably bring inflation back to target in the medium-term horizon (Case B-type scenarios). These types of scenarios include the risk for much weaker aggregate demand conditions; concerns about potential adverse developments in the real estate sector; continued growth in domestic labor supply; accelerating growth in investments, supported by the utilization of large accumulated savings in the real sector of the economy; the potential for a sharp slowdown in global demand; as well as other risks and uncertainties.

Against the backdrop of the broader set of risks, as well as the two illustrative scenarios presented in the Q1 2024 Monetary Policy Report, the Board members deliberated their views on the key sources and types of risks and uncertainty that were most relevant for making a prudent policy decision at this stage. Board members were in unison in emphasizing the plausibility of the risk for a "higher for longer" policy stance in the US, given continued trends of high consumption-driven growth, above-target inflation, and persistent stickiness in wages and prices. Martin Galstyan, Armen Nurbekyan, Hovhannes Khachatryan, and Davit Nahapetyan all emphasized that higher interest rates in the US could have implications on neutral rates both globally and in Armenia in the medium term, while placing greater significance on its policy implications for Armenia in the long term. Discussions also touched upon slightly improved economic activity in both the EU and China in the first quarter, though Board members suggested that risks still persisted related to slowdown in the EU and to real estate and financial sector vulnerabilities in China. Turning to commodity markets, some Board members, including Hasmik Ghahramanyan, argued that recent upticks in the FAO food price index point to the risk of deflationary effects from the external sector disappearing in the near future. With respect to domestic economic developments, several Board members, chief among them Armen Nurbekyan, Hovhannes Khachatryan, Hasmik Ghahramanyan, Levon Sahakyan, and Narek Ghazaryan expressed concern that recent growth was not broad-based and continued to be concentrated in selected sectors, raising both near-term concerns about sustainability as well as longer-term, structural risks related to potential output. Narek Ghazaryan emphasized that twelve successive months of below-target Y-o-Y inflation (of which eight months were in negative territory), coupled with risks of further currency appreciation driven by growth in export-oriented sectors, could create the risk of deflationary expectations becoming entrenched in the public. Others, including Martin Galstyan, suggested that risks of underlying inflation and inflation expectations ratcheting upwards—which remained a major concern during prior decisions—had more or less dissipated, though Hasmik Ghahramanyan noted that uncertainty still remained on this front. Turning to fiscal policy, Levon Sahakyan and Narek Ghazaryan emphasized uncertainty related to the scale of capital expenditures, noting that this could have inflationary implications with respect to the national deficit and the country risk premium.

Summarizing their views, the Board agreed that the greatest policy imperative lies in accurately assessing which types of risks are most relevant and dangerous in terms of their scale and impact on the economy, and what types of policy errors the Board is most focused on avoiding from a least regrets perspective. One group of Board members (Martin Galstyan, Armen Nurbekyan, and Hasmik Ghahramanyan) placed greater emphasis on those types of uncertainties that could necessitate a more conservative policy loosening. Given this, they argued that while the Case B-type risks generally outweighed the Case A-type risks, it would be imprudent to overemphasize downside risks and overlook the costs that could arise from underestimating upside risks, and thus suggested that policy should follow a more conservative loosening path. Martin Galstyan, Armen Nurbekyan and Hasmik Ghahramanyan all noted uncertainty related to the country risk premium, which, though lower than before, had declined less than in other emerging economies, and upward risks to it continued to remain an important source of concern moving forward. They additionally emphasized risks related to the sustainability of economic growth, given its sectoral concentration. In particular, Armen Nurbekyan and Martin Galstyan both noted the need for policy to facilitate a sustainable closing of disequilibriums in the economy. At the same time, Hasmik Ghahramanyan remained cautious about the need to manage upside risks stemming from uncertainty about how well-anchored inflation expectations are. Martin Galstyan also noted risks stemming from potential increases in the fiscal deficit, which could have Case A-type implications. On the other hand, another group of Board members, including Davit Nahapetyan, Levon Sahakyan, and Narek Ghazaryan, placed greater emphasis on downside risks, which they argued necessitated a more aggressive loosening of the policy stance. Narek Ghazaryan emphasized the sectoral concentration of recent economic growth, which, he argued, could mask underlying deflationary risks. The latter, coupled with one full year of below-target inflation, could result in deflationary expectations being forged in markets and among the public, thus requiring a looser policy stance. Echoing others' concerns about the sectoral concentration of recent growth, Levon Sahakyan agreed that, aside from selected sectors whose growth has been driven by relatively short-term factors, economic activity has weakened considerably. In this context, Davit Nahapetyan, Levon Sahakyan, and Narek Ghazaryan all suggested that the Case B-type risks far outweighed the Case A-type risks in both their scale and relevance, and argued that monetary policy needed to appropriately signal this orientation to markets. Finally, Hovhannes Khachatryan emphasized longer-term risks stemming from fiscal policy. Echoing others' concerns about weakening economic activity and risks of slowdown in certain exportable sectors, he additionally emphasized the implications of an appreciated exchange rate and the fact that domestic demand conditions are not strong enough to offset weakening external demand.

Policy Decision

Given the discussion of these and other scenarios in the context of the existing uncertainties, the Board of the CBA emphasizes the importance of utilizing a prudent risk management approach to ensuring the price stability objective that seeks to minimize the losses that could stem from these scenarios materializing. Balancing the aforementioned risks in both directions, the Board of the Central Bank of Armenia finds it appropriate to continue to gradually ease the policy stance. The Board will continue to monitor risk scenarios, and stands ready to take adequate actions to ensure that the price stability objective of 4 percent inflation over the medium-term horizon is met.

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